

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELTON INTERACTIVE, INC.
Complainant

VERSUS

FLEXPORT INTERNATIONAL LLC,
Respondent

RESPONDENT'S MOTION TO COMPEL RESPONSES TO DISCOVERY

COMES NOW, Respondent, Flexport International, LLC ("Flexport"), by and through the undersigned counsel, and pursuant to the Federal Maritime Commission's ("FMC") Rules of Practice and Procedure 46 C.F.R. § 502.150, hereby moves to compel Complainant Peloton Interactive, Inc. ("Peloton") to provide full and complete answers and documents requested in Respondent's discovery requests and thus far withheld. In support thereof, Flexport states as follows:

BACKGROUND

On October 2, 2024, Peloton filed its Amended Verified Complaint before the FMC, alleging that Flexport has engaged in a pattern of conduct in violation of the Shipping Act of 1984, 46 U.S.C. § 40101, et. seq. (the "Shipping Act") with respect to demurrage and detention charges assessed by Flexport. The Amended Complaint alleges violations of U.S.C. § 41102(c)

(unreasonable practices), § 41104(a)(15) (unlawful invoicing), and § 41104(a)(14) (unreasonable charges).

In its Amended Complaint, Peloton identified (but did not attach) the relevant agreements between the parties and attached its Exhibit “A”, which “identifies invoices and D&D charges assessed by Flexport” and which “plainly show that Flexport engaged in the unreasonable and unlawful practices alleged herein on a normal, customary, and continuous basis.” [Doc. 14 at ¶¶ 30 and 31].

Notably, the entirety of Peloton’s claim is its assertion that Flexport (rather than Peloton) should be responsible for all detention and demurrage charges because Flexport agreed to provide “store door” transportation as set forth in said agreements.

From the outset, Flexport has vehemently challenged this assertion, as set forth in every single document submitted by Flexport in this action.

Specifically, Flexport attached to its Answer the agreements identified by Peloton in its Amended Complaint – all of which provide, in pertinent part: (a) that the shipments were CY-CY, not “store door”; (b) that Peloton would be responsible for all detention and demurrage as set forth in Flexport’s Rule’s Tariff; and (c) that Peloton had the ability to dispute any invoice.

Even before the suit was filed, Flexport was at a loss to understand what invoices or services were being challenged. To be clear, at no point did Peloton challenge any invoice or service provided. Rather, Flexport first learned of any such challenge when it was contacted by Peloton’s counsel only earlier this year, in March, 2024. Confused, Flexport inquired what the issues were, but counsel refused to identify any. Finally, when Flexport pressed as to which charges were in dispute, counsel’s only response was “all of them”.

The reason for Flexport's confusion was that it had bent over backwards to assist Peloton in getting their shipments out of the port (when Peloton had absolutely no place to put them) and returning the empty containers to the port (after Peloton held onto same for weeks after the end of free time).

Flexport was in daily communication with Peloton throughout this time, keeping them advised every step of the way.

Further, Flexport and Peloton were in constant communication with respect to all of the charges, including demurrage and detention. Notably, each invoice was reviewed by seven different Peloton personnel before being approved and paid. Also notably, at no time did Peloton ever dispute any charge or service provided.

As such, Flexport was just baffled when, out of nowhere, it received a demand letter from Peloton's attorneys seeking the return of \$30 million for demurrage and detention charges, which counsel now claimed were improperly assessed because the terms of the agreements were "store door".

Nevertheless, Peloton has persisted in its lawsuit despite never being able to articulate its claims. With this in mind, Flexport served narrowly-tailored discovery to Peloton, focusing on the key claims being made: (a) the terms of the agreements; (b) any service failures; (c) Peloton's review of the invoices.

Flexport issued separate requests for production of documents and interrogatories directed to Peloton on November 13, 2024.

In response, Peloton asserted frivolous boilerplate objection to all of Flexport's interrogatories and requests for production. As more fully set forth below, Peloton's responses and production are materially deficient in several key respects.

LEGAL STANDARD

FMC Rules permit discovery “regarding any nonprivileged matter that is relevant to any party’s claim or defense.” 46 C.F.R. § 502.141(e)(1). FMC Rule 502.150 authorizes the Presiding Officer to compel compliance with discovery requests when a party has provided insufficient or inadequate responses, or hides behind spurious objections. *See* 46 C.F.R. § 502.150 (“For purposes of this section, a failure to make a disclosure, answer, or respond includes an evasive or incomplete disclosure, answer, or response”).

DEFICIENCIES IN RESPONSES¹

Peloton’s responses are replete with a litany of improper, baseless objections which appear to be copied and pasted without even reading what was being asked. For almost each of the 28 interrogatories and 42 requests for production, Peloton objected on the typically-asserted grounds of being “overly broad”, “unduly burdensome”, not calculated to seek admissible evidence. These objections, asserted without any support, are nearly always rejected by courts and the Commission.

The Commission’s Rules and Commission practice do not permit parties to rely on “general objections” and require objections to be made specifically in response to each objectionable request. *See* 46 C.F.R. §502.145(b)(4); 46 C.F.R. §502.146(b)(2).

Peloton’s responses are replete with several of the same evasive objections all in an effort to avoid producing the requested information and/or documents.

For example, for 23 of the 28 Interrogatories and half of the Requests for Production, Peloton objects on the grounds that the requested information and/or documents are in the possession, custody, or control of Flexport. This is not a sufficient basis for denying discovery.

¹ The instant motion refers to the deficiencies in Peloton’s responses to interrogatories and requests for production. Flexport is still undergoing its review of Peloton’s document production, which was produced without any legend or other way to identify which documents are responsive to each request. As such, Flexport reserves the right to move to compel any deficiencies in the document production.

See Marine Transport Logistics, Inc. v. CMA CGM, S.A., 2024 WL 474879, at *5 (F.M.C. Jan. 31, 2024) (quoting *Cook v. Rockwell Int’l Corp.*, 161 F.R.D. 103, 105 (D. Colo. 1995)).

Another objection repeated by Peloton in all but two of its responses to the interrogatory as well as the majority of its responses to the requests for production is that the request is overly broad, unduly burdensome, and/or ambiguous. This objection is simply inaccurate as each of the interrogatories are specific to the allegations asserted by Peloton in its Verified Amended Complaint (allegations that Peloton’s own attorney drafted). “Many courts encourage parties to use ‘contention’ interrogatories to seek the legal contentions made by opposing parties and the factual bases for those legal contentions.” *Ocean Network Express Pte. Ltd. and Ocean Network Express (north America) Inc. - Possible Violations of 46 U.s.c. S 41102(c)*, 2022 WL 1485900, at *2 (F.M.C. May 4, 2022) (quoting *Thorn EMI N. Am. v. Intel Corp.*, 936 F. Supp. 1186, 1191 (D. Del. Aug. 29, 1996)). As the Commission has explained the “rules explicitly allow parties to ask for an opinion or contention that relates to fact or the application of law to fact.” *Id.* at *4 (citing 46 C.F.R. § 502.145(a)(2), 502.147(a)(1)); *see also Anderson v. United Parcel Serv., Inc.*, No. CIV.A. 09-2526-KHV, 2010 WL 4822564, at *5 (D. Kan. Nov. 22, 2010) (quoting *Bohannon v. Honda Motor Co. Ltd.*, 127 F.R.D. 536, 538 (D.Kan.1989)) (“[a]n interrogatory may properly inquire into a party’s contentions in the case.”).

As for the requests for production, federal courts have compelled production when the requests specifically relate to the contentions made in the Complaint as they did in the instant requests. *See Steil v. Humana Kansas City, Inc.*, 197 F.R.D. 445, 448 (D. Kan. 2000); *Vlasich v. Fishback*, 2009 WL 10696469, at *23 (E.D. Cal. Mar. 19, 2009); *Kinetic Co., Inc. v. Medtronic, Inc.*, 2010 WL 11561275, at *4 (D. Minn. Nov. 23, 2010).

For five of the interrogatories, Peloton cited “calls for a legal conclusion” as a basis for its objection, however, this objection is specious as all five interrogatories are clearly requesting information regarding the contentions made in Peloton’s Verified Amended Complaint. As noted above, the Commission’s Rules are clear on this point, “[a]n interrogatory is not objectionable merely because it asks for an opinion or contention that relates to fact or the application of law to fact.” 46 C.F.R. § 502.145(a)(2). In fact, “[t]he purpose of contention interrogatories... is to give each party sufficient notice of the opposing party’s contentions at trial and an opportunity to respond to those contentions.” *Ocean Network*, 2022 WL 1485900, at *2 (quoting *Thorn EMI N. Am.*, 936 F. Supp. at 1191).

Further, in response to several of the interrogatories and requests for production, Peloton states that it “will answer this Interrogatory by producing relevant, non-privileged documents” and/or claims that the information/documents are protected by the attorney-client privilege or the work-product doctrine. Yet, the Initial Order specifically states in Paragraph 13 that **“[a] party withholding documents because of an asserted privilege must serve a privilege log that complies with the requirements of Federal Rule of Civil Procedure 26(b)(5)(A).”**

Here, Peloton has invoked the attorney client privilege and work product doctrine in response to many requests and have failed to produce a privilege log. Further, as noted herein, most of these invocations of privilege have no rational or legal basis.

Further, and importantly, for each interrogatory for which a response was provided, Peloton merely referred to its document production, without specifying where in the production the information could be found. This is improper. Indeed, in conferring with counsels for Peloton, the undersigned raised this issue and counsels’ response was that the option to produce business records in response to an interrogator is in compliance with Fed. R. Civ. P. 33. Yet, as the

undersigned pointed out, Commission Rule 205 provides that the response can refer to business records only if: (1) the burden of deriving or ascertaining the answer will be substantially the same for either party; and (2) **specifying the records** that must be reviewed **in sufficient detail to enable the interrogating party to locate and identify them as readily as the responding party could**. 46 C.F.R. § 502.145(d). Clearly, Peloton’s repetitive reference to its massive document production, without more, is not sufficient.

Finally, in addition to the frivolous boiler-plate objections and improper invocations of privilege, Peloton also objected to many requests as “harassing”, without any explanation as to how. The objections asserted in most instances are not only frivolous, but nonsensical. Further, in most responses, Peloton provides a response “subject to” its objections. As such, Flexport cannot possibly know whether the information or documentation is actually responsive.

Peloton’s response to the first interrogatory highlights the deficient and frivolous objections and lack of responses.

In it, Peloton asked the most basic of interrogatories – the name of the personnel who provided information in preparation of the responses.

Peloton objected on the grounds that the interrogatory was:

1. Overly broad
2. Compound
3. Unduly burdensome
4. Harassing
5. Not reasonably calculated to lead to discovery of admissible evidence
6. Not susceptible to answer through an interrogatory because the knowledge and experience of many people may have been drawn on to answer these Interrogatories
7. The information is in the possession, custody or control of Flexport
8. It seeks information protected from disclosure by the attorney-client privilege, the work-product doctrine, and other applicable protections.

Peloton then responded that, subject to these objections, Martina Majstorovic provided “certain” information in preparation of these responses and objections. It is just impossible to

comprehend how any of these objections would be valid. Who is being harassed by a discovery request? How? How is this information not relevant? How on earth could Flexport have this information? How can the attorney-client privilege or work-product doctrine protect the identity of an individual who provided information? And what is meant by “other applicable protections”? And after all of that, being harassing, unduly burdensome, etc., Peloton identifies but a single individual who provided “certain information”. Notably – this is the same individual who verified the responses to interrogatories.

We address the deficiency of each response in the attached Exhibit “E” but wanted to highlight this prime example – the very first response, which would have been simple to answer – to illustrate the ongoing games being played by Peloton and their counsel. The responses, or lack thereof, appear designed to invite the instant motion and further delay these proceedings.

To be clear, as Flexport recently set forth in its Response to Peloton’s belated motion to extend the Scheduling Order deadlines, Peloton and its attorneys have done everything they can to delay these proceedings. Now, due to these frivolous objections and lack of responses, there will undoubtedly be further delay. Flexport has diligently proceeded with discovery and the depositions of all of Peloton’s named witnesses – to begin next week. Now, those depositions will need to be postponed because Flexport does not have any meaningful discovery responses from Peloton – and likely will not have any for weeks pending resolution of this motion.

From the beginning, Flexport has asked Peloton to advise as to the bases of its dispute. Peloton’s counsel refused – even going so far as to state that, since these are store-door terms, Peloton did not need to articulate its dispute. Now, Peloton just refuses to provide any responses to support its claims and instead asserts baseless objections designed to just endlessly delay this litigation.

The relevant requests and the responses thereto are attached hereto as follows:

- Exhibit “A”: Flexport’s Interrogatories at issue
- Exhibit “B”: Peloton’s Responses to Flexport’s Interrogatories at issue
- Exhibit “C”: Flexport’s Requests for Production at issue
- Exhibit “D”: Peloton’s Responses to Flexport’s Requests for Production at issue
- Exhibit “E”: For convenience, a summary and outline of each interrogatory and request at issue, a summary of Peloton’s objections and response, if any, and Flexport’s positions regarding same

CONCLUSION

For the reasons detailed above and as set forth in the attached exhibits, Peloton has provided insufficient responses to the numerous interrogatories and requests for production of documents. Peloton has failed to answer interrogatories, has given evasive responses, and its objections do not excuse it from provided responses and documents. Accordingly, and in light of the highly-expedited nature of the proceeding, Flexport respectfully requests that the Presiding Officer issue an order overruling Peloton’s objections and compelling Peloton to immediately amended its discovery responses to provide complete answers to Flexport’s interrogatories and requests for production.

CERTIFICATION OF CONFERENCE

The undersigned hereby certifies that he has conferred in good faith with counsels for Peloton in an effort to resolve this matter before filing the instant motion. Specifically, on December 16, 2024, the undersigned reached out to counsel for Peloton to request a meet and confer as to Peloton’s responses to all discovery. Specifically, the undersigned advised that the responses consisted of boilerplate objections and did not contain any meaningful responses.

Counsel for Peloton responded that he disagreed with the position and agreed to hold a meet and confer, at which time, the undersigned should be prepared to address Flexport's responses to discovery. The undersigned responded, requesting clarity as to the deficiencies of Flexport's responses. The parties met and conferred on Friday, December 20, 2024 and discussed Peloton's objections and responses to the discovery requests. Notably, at the conference, counsel for Peloton advised that it had no issues to discuss yet with respect to Flexport's responses.

Following the Christmas holiday, on December 27, 2024, the undersigned sent to counsel for Peloton a detailed summary of the requests, Peloton's objections and responses, and Flexport's positions, substantially similar to the summary provided herein. The undersigned again requested that Peloton advise if it would be withdrawing its objections and providing responses.

Thereafter, on Saturday, December 28, 2024, counsel responded in part to the summary provided by the undersigned regarding Peloton's responses and then raised alleged deficiencies with Flexport's responses. The parties agreed to meet and confer after New Year to address Peloton's replies and Flexport's discovery responses. However, Peloton's replies did not address Flexport's position with respect to Peloton's discovery responses. The undersigned followed up with counsel on Tuesday, December 31, 2024 to address Peloton's replies and to inquire whether Peloton would be withdrawing the objections and providing responses. No further response was received. On January 3, 2025, the parties met and conferred once again to address Peloton's responses and objections. Peloton's counsel advised that it would identify the spreadsheet showing the breakdown of the charges and would be generating a privilege log and providing same. Peloton's counsel also advised that they would consider Flexport's arguments with respect to references to documents in the interrogatory responses. However, no definitive response was provided as to same, and counsel did not agree to withdraw the objections.

Given the upcoming discovery deadlines(as recently extended), including fact depositions for which responses to interrogatories are needed, in order to expedite this matter the undersigned files the instant motion to compel. If any issues are resolved prior to Peloton's response, the undersigned will promptly file a supplement.

Dated: January 3, 2025

Respectfully submitted,

SPECTOR RUBIN, P.A.

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Flexport International LLC***

CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on January 3, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak
Robert M. Borak, Esq.